2004

Great value always

UCHUMI
SUPERMARKETS LTD

Annual Report & Accounts

1976

Market branch

1976

Westlands branch

1976

City Square branch

1977

Ngong Road Branch

1981

Kimathi Branch

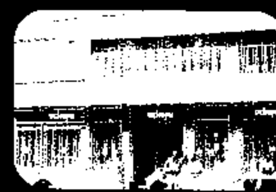
1983

Sarit Centre Hyper

1984

Jogoo Road branch

1989



Taveta Branch

1991

Langata Branch

1992

Nakuru East Branch

1994

Nakuru West Branch

1994

Eldoret branch

1995

Koinange branch

1997

Ngong Hyper

2000

Temple Road branch

2000

Nairobi West Branch

2000

Mombasa Station Hyper

2000

Buruburu branch

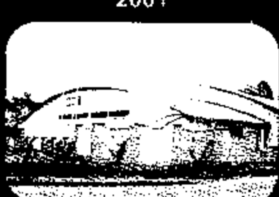
2001

Railways Branch

2001

Bombolulu Branch

2001



Langata Hyper

2001

Meru branch

2001

Kahawa Wendani Branch

2001

Parklands Branch

2002

Mombasa Road Hyper

2002

Uchumi Garden City (Kampala)

2003

Karatina Branch

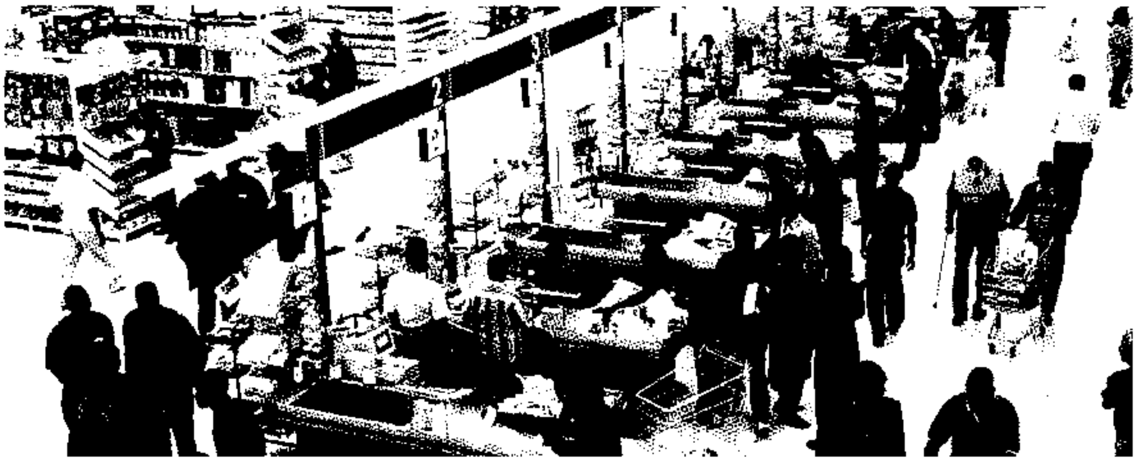
2003

Kisii branch

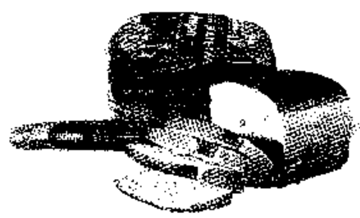
Contents

The new Uchumi Headquaters at Yarrow Road which houses all departments. The warehouse is also located within its precincts.

Company Information



Board of Directors	Dr Eddah Wacheke Gachukia (Chairperson) appointed 14 July 2004
	ICDC Investment Co. Limited (Represented by Chris J Kirubi who resigned as Chairman on 14 July 2004)
	Kennedy Thairu (Managing Director) - Resigned 30 June 2004
	John Masterton-Smith (Managing Director) appointed 1 November 2004
	Kipng'etich K Bett (Acting Managing Director 15 July 2004 to 31 October 2004)
	Industrial and Commercial Development Corporation (ICDC)
	KWA Holdings (E.A.) Limited
	Nigel Ralph Pavitt
	Permanent Secretary - Ministry of Trade and Industry
	Dr Ernest Muinde Kioko
	Isaac Odundo Awuondo
Secretary	A. L. Mugambi
Auditors	PricewaterhouseCoopers Rahimtulla Tower Upper Hill Road P O Box 43963, Nairobi
Registered Office	Uchumi Supermarkets Limited Yarrow Road, off Nanyuki Road P O Box 73167, Nairobi
Registrars and Transfer Office	Funguo Registrars Limited Uchumi House, Aga Khan Walk P O Box 45519, Nairobi
Bankers	Kenya Commercial Bank Kencom House, Moi Avenue P O Box 48400, Nairobi
	Citibank N. A. Citibank house, Upper Hill Road P O Box 30711, Nairobi
	Barclays Bank of Kenya Limited Westlands Branch P O Box 14403, Nairobi



Board of Directors

Dr. Eddah W. Gachukia
Chairperson

John Masterten-Smith
Managing Director

Kipng'etich K. Bett

Eng. Joseph M. Munene
Representing ICDC

Isaac O. Awuondo

Nigel Ralph Pavitt

Peter K. Mwangi
Representing ICDCI Co. Ltd.

Francis Okuku Oyugi
Representing KWA
Holdings (EA) Ltd.

Dr. Ernest M. Kioko

Alfred L. Mugambi
Secretary

Ms. K. W. Muniu
Alternate to PS
Ministry of Trade & Industry

Notice of Annual General Meeting

NOTICE IS HEREBY GIVEN that the 26th Annual General Meeting of the Company will be held on Friday 10th December 2004 at The Grand Regency Hotel, Nairobi at 3.00 pm to transact the following business:

ORDINARY BUSINESS

1 The secretary to read the notice convening the meeting.

2 To confirm the minutes of the previous Annual General Meeting.

3 To consider the Accounts for the year ended 30th June 2004 together with the Directors' and Auditors' reports thereon.

4 To confirm the Directors' remuneration for the year ended 30th June 2004.

5 The following Directors are due for retirement by rotation and are eligible for re-election:
   i) KWA Holdings (EA Ltd)
   ii) ICDC Investment Co. Ltd.
   iii) Kipng'etich K. Bett

6 To note that PricewaterhouseCoopers having expressed their willingness, continue in office as auditors of the company in accordance with the provisions of section 159(2) of the Companies Act (Cap 486) and to authorize the Directors to fix their remuneration.

SPECIAL BUSINESS

7 To consider and if thought fit, pass the resolutions contained in the printed document attached to this notice, and for purposes of identification, signed by the Chairperson.

8 Any other business for which sufficient notice has been given.

By Order of the Board

A. L. Mugambi
Company Secretary
8 November 2004

NB: A member entitled to attend and vote at this meeting is entitled to appoint a proxy who need not to be a member of the company.

Ilani ya Mkutano Mkuu

ILANI INATOLEWA HAPA KWAMBA mkutano mkuu wa mwaka wa ishirini na sita wa kampuni utafanywa siku ya ijumaa tarehe 10 Desemba 2004 katika The Grand Regency Hotel, Nairobi, saa tisa alasiri kwa madhumuni ya kutekeleza shughuli za biashara zifuatazo:

SHUGHULI ZA KAWAIDA

1 Katibu kusoma ilani iliyoitisha mkutano.

2 Kuidhinisha yaliyozungumziwa kwenye mkutano mkuu wa awali.

3 Kuidhinisha hesabu ya mwaka ulioishia tarehe 30 Juni 2004 pamoja na ripoti za Wakurugenzi na pia Wakaguzi wa vitabu.

4 Kuidhinisha malipo ya wakurugenzi kwa mwaka ulioishia tarehe 30 Juni, 2004.

5 Wakurugenzi wafuatao wanastaafu kwa zamu na wanastahili kuchaguliwa tena:-
   i) KWA Holdings (E.A.) Ltd
   ii) ICDC Investment Co. Ltd
   iii) Kipng'etich K. Bett

6 Kutambua ya kwamba, PricewaterhouseCoopers, wakiwa wameonyesha ishara yao yakukubali kuendelea kushika hatamu kama wakaguzi wa kampuni kulingana na kanuni za kifungu 159(2) cha sheria za makampuni (486) na kuwapa kibali Wakurugenzi kuweka kipimo cha ujira wao.

SHUGHULI MAALUM

7 Kubaini, na iwapo itafikiriwa kuwa bora, kupitisha azimio lilochapishwa katika daftari na kuambatanishwa katika ilani hii, na kwa madhumuni ya utambulikanaji, kusahihishwa na Mwenyekiti.

8 Shughuli nyengine zozote ambazo ilani ya kutosha ilitolewa.

Kwa Amri ya Halmashauri

A. L. Mugambi
Katibu
8 Novemba 2004.

Kumbusho: Mwenyehisa anayestahili kuhudhuria na kupiga kura kwenye mkutano huu anaweza kumchaguwa mwakilishi ambaye si lazima awe mwenyehisa wa kampuni hii.

Chairperson's Statement

The financial year 2003/2004 began with general optimism and hope on both the macro-economic and political fronts. Following the inauguration of a new Government in late December 2002, the administration of President Mwai Kibaki came in on a platform of zero tolerance to corruption which, together with the more than US$ 4.0 billion in aid pledges from Kenya's international development partners, created high expectations for an improved business and macro-economic outlook. Unfortunately the unfavourable weather conditions which necessitated food importation, rising energy costs and delays in the resumption of development assistance from both multilateral and bilateral partners meant a below target 1.8% GDP growth rate against GDP growth projections of 3% for the year. The less than stellar economic performance coupled with rising inflation has impacted negatively on the retail industry especially as most customers have had less disposable income.

The financial year ending 30th June 2004 was a challenging one for Uchumi Supermarkets Limited. Apart from a stagnant economy, the company's financial performance was below expectations due to several factors which I will highlight shortly.

To understand our business situation, one would need to put into perspective our five year strategy adopted by the Board in the financial year 2001/2002. The financial year under review was the third year of the strategy which had the following key drivers:-

- Growing Business through new store locations – this is tandem with our promise to shoppers that "there will be an Uchumi near you". Without investing in additional and good store locations, our business will not grow.
- Maximising customer value – this is driven through competitive pricing, and the introduction of a wider range of items and services to meet changing customer preferences.
- Re-aligning operations through people- our business growth is being matched by the requisite investment in human capital which includes training and a rewards and recognition system.
- Re-aligning operations through technology – our new world-class IT system is now operational and it is currently assisting in decision making whilst providing a platform for value added services to our customers at the point of sale.

The Board and Management still believe that this strategy is basically sound. However, a number of snags occurred. Firstly, the funding of the strategy required immediate availability of capital. Whereas some of the cash was available from the positive cash flow generated by the business, it was apparent that we required additional funding from external sources. The delays that emanated from the sourcing of these funds compounded with a depressed macro-economic trading environment resulted in a liquidity crunch for the business. The constraints emanating from the cash flow problem caused disruptions in our trading cycle and affected our ability to meet supplier trading terms. Our outlets experienced intermittent out of stock situations on basic products. This impacted negatively on our key revenue drivers which are customer spend and customer traffic both of which dropped by an average of 4% and 11% respectively. Our ERP system which became operational during the financial year faced implementation challenges attributable to the learning process by staff and change of the working culture. Fortunately these problems are now behind us as the training initiatives that Management put in place are starting to pay off with full acceptance and adoption of the system by all staff. As a foundational platform, the system is poised to continuously accrue benefits to the business. We recently launched a value added service known as the electronic funds transfer (EFT) system to our customers. The service, launched in conjunction with KCB, clearly demonstrates the versatility of our IT system which we hope to tap in the coming year.

During the financial year under review, turnover for the group declined to Kshs.7.96 billion in the year from Kshs.8.90 billion. With the decline in turnover, gross profit also dropped from Kshs.1.45 billion to Kshs.1.15 billion due to the lower sales volumes and lower margins for the year. The loss before tax, including reorganisation costs for the year was Kshs.654 million - an increase from previous year's loss of Kshs.246 million. The drop in turnover and gross profit for the year together with increased operating costs largely account for the higher than projected loss position. The rise in operational costs was mainly due to amortisation of the ERP /computerisation costs, a higher depreciation charge, and a number of one-off costs that include the derecognition of the deferred tax asset we were carrying in our books, a revaluation deficit of Kshs.45 million following property valuations as at 30 June 2004.

Chairperson's Statement *Continued*

During the second half of the year, we embarked on a restructuring programme to realign our business according to the new ERP processes. This measure was taken to address the cost base of our business. As a result of this exercise, the business spent Kshs. 100 million in reorganisation costs relating to employee redundancy expenses. Although the costs impacted negatively on the results for the year, the full attendant cost savings will benefit the results for the current and subsequent years.

Our regional expansion into the Ugandan market is beginning to bear fruit. Eighteen months since its opening, Uchumi Uganda recorded a 133% increase in sales in the financial year under review. The growth has not come easy but it has certainly shown that we are capable of tackling competition in a fledgling market even as we lay the foundation for an East African presence.

In order to forestall any further losses and return to profitability, the company has embarked on implementation of well-thought remedial measures. An overriding theme across these measures is a focus on the basics of our business as a food retailer. The measures encompass the following areas; business model restructuring, a re-focus on the core retail functions and a financial restructuring programme.

Some of the aforementioned measures have been implemented and we are poised to reap the benefits.

On the business restructuring; there has been an overhaul of the top management culminating in the recent appointment of a Managing Director with the requisite retail experience needed to turnaround the business and lay the foundation for future growth. We have also realigned the retail operation and buying functions to reflect the premise of a return to basics. The realignment included the appointment of two of our most experienced managers to spearhead these fundamental areas. Additionally, a staff restructuring exercise was implemented bearing in mind the importance of retaining staff with required experience.

On streamlining the retail operations; key amongst these measures is ensuring that the envisaged benefits of the new computerised systems among them; reduced stockholding days, product ranging and efficient decision making, are realised immediately. To ensure that we buy the right products for the right stores, we are involving our store managers in all critical buying decisions as opposed to an earlier head-office driven process. Going forward, a sound supply chain system and excellent customer service must be in place to ensure continued customer loyalty.

Meeting customer needs will be a dominant theme in the business going forward. To this end, we have embarked on a continuous customer service training programme. Additionally, we have launched an initiative known as the customer service friend. A pilot project of the aforementioned initiative showed tremendous appreciation from our customers. Subsequently, a roll-out of the initiative to our vast network of branches is underway.

Our financial restructuring programme is directed at the finalisation of the balance sheet restructuring through introduction of long term debt capital ,equity injection and hence the elimination of a negative working capital position and the loss making trend.

During the Annual General Meeting, the Board will bring before the members, the final proposals for approval, after observing the necessary requirements.

The succeeding financial year will see the company continue to consolidate the operations of the present branch-network with a clear focus on ensuring all stores achieve their set targets. There will be more emphasis on branch based operations and performance. Similarly, we will continue to pursue a lean cost base across the business as one of the other initiatives in bringing about a turnaround in the business performance. These measures will be critical in view of the emerging indications of a continuing economic slowdown, and therefore low consumer purchasing power. We shall continue to identify and implement new initiatives, including the development of own brands, additional services at the point of sale to strengthen the group's position and benefit when the upturn sets in. We shall also aim at sustaining and improving the business relationships we have established with all our suppliers.

In conclusion, I would like to express my gratitude to my colleagues on the Board, management and staff for their support during the difficult year. I also would like to pay glowing tribute to our suppliers and customers for their continued loyalty and support.

Eddah W. Gachukia
Chairperson

Asst. Minister, Office of the President, Special Projects, Dr. Wilfred Machage receives foodstaffs worth Kshs 135, 645 from the then Ag. MD, Mr K. Bett. The foodstaffs were donated by Uchumi employees across the operation towards the Save-a-life fund campaign.

Taarifa ya Mwenyekiti

Mwaka wetu wa hesabu wa 2003/2004 ulianza na shuku kwa jumla na matumaini kutoka pande zote za uchumi na siasa. Kutokana na kubuniwa kwa serikali mpya mwishoni mwa mwezi Desemba 2002 uongozi wa Rais Mwai Kibaki ulikuja na msimu wa kutostahamili kabisa ufisadi ambao pamoja na zaidi ya dola za Marikani bilioni 4 kama ahadi za msaada kutoka kwa washiriki wa jumuia ulimwenguni, ulileta matumaini makubwa zaidi kwa uendeleshaji wa biashara na uchumi kwa jumla. Ingawaje, hali ya anga isiyoridhisha ilibidi uagizaji wa vyakula kutoka nje, uongezaji wa kawi na kuchelewa kwa misaada kutoka kwa wawekaji ilifanya lengo letu kupungua kwa asilimia 1.8 ya rasilmali ya nchi ukilinganisha na makadirio ya asilimia 3 kwa mwaka. Hali mbaya ya uchumi ilizidi kuendelea na uzorataji wa uchumi ulidhuru biashara ya reja reja hasa mapato ya matumizi ya wateja.

Mwaka wa hesabu ulioishia tarehe 30 Juni ulikuwa wa makabiliano kwa Uchumi Supermarkets Limited. Licha kutokana na uchumi uliozorota, matokeo yetu hayakuwa ya kuridhisha kwasababu ya mambo fulani ambayo nitaangazia hivi punde.

Kuelewa jinsi biashara yetu ilivyo, utahitajika kuweka maanani mpangilio wetu wa miaka mitano ulio idhinishwa na Halmashauri katika mwaka wa hesabu wa 2001/2002.

Mwaka tunaochunguza wa tatu wa mpangilio ambao unafuata maadili ya fuatayo;

- Ukuzaji wa biashara kwa ufunguzi wa matawi katika vitongoji vipya- hii inaambatana na ahadi yetu kwa wateja kwamba, 'kutakuwa na soko la Uchumi karibu nawe.' Bila uongezaji wa masoko katika vitongoji vizuri, biashara yetu haitaweza kuendelea.
- Kuendeleza hadhi ya mteja- hii hufanywa kwa mashindano ya bei, utoaji wa bidhaa mbali mbali na huduma.
- Kuzingatia utendakazi kutumia watu- ukuwaji wa biashara yetu hulinganishwa na ukuwaji wa rasilmali ya binadamu. Wafanyikazi wetu wamepata mafunzo ya utowaji huduma bora katika biashara reja reja.
- Kuzingatia utendakazi kwa kutumia teknologia- Mashine mpya inafanya kazi na hivi sasa inasaidia katika utoajimashauri huku ikitoa njia bora za kuongeza hadhi za wateja wakati wa uuzaji.

Halmashauri na Wakurugenzi bado wana amini kwamba mpangilio huu ni mzuri. Ingawaje matatizo mengi yametokea. Kwanza utoaji wa fedha kwenye mpangilio ulihitaji upatikanaji mara moja wa rasilmali. Ijapo pesa nyengine ziliweza kupatikana mara moja kutoka kwa biashara, tulitarajia kupata pesa nyengine. Kucheleweswa kwa upatikanaji wa pesa hizo na kushindikizwa na uchumi uliozorota ulisababisha biashara kukosa pesa. Shida zilitokana na ukosefu wa pesa ziliharibu biashara yetu na upeanaji bidhaa katika masoko yetu. Matawi yetu yalikabiliwa mara kwa mara na ukosefu wa bidhaa. Hii ilidhuru vibaya mapato yetu, kama, matumizi ya wateja wetu na ukosefu wa wateja uliopunguwa kwa wastani wa asilimia 4 na 11.

Mtambo wetu wa ERP- ambao ulianza kufanya kazi mwakani ulikumbwa na matizo yaliyohusu kuhusu kuelewa jinsi unavyotumiwa na watumizi na mabadiliko ya ufanyaji kazi. Hivi sasa, matatizo haya yamekwisha kwani mafunzo yaliyowekwa na wasimulizi yameanza kuufaisha wafanyikazi wote. Kama chanzo, mtambo huu utaendelea kunufaisha biashara. Hivi majuzi tuliongeza himaya ya wateja kwa kuwapatia huduma iitwayo EFT(huduma ya kulipia bidhaa kwa kutumia teknologia ya mitambo ya komputa). Huduma hii, ilianzishwa pamoja na KCB, ni njia wazi ya kuonyesha nguvu za mpangilio ambao tunatarajia kupata mwaka ujao.

Katika mwaka wa hesabu tunaochunguza, mauzo kwa jumla ya kikundi yalipungua hadi shilingi bilioni 7.96 mwakani, kutoka shiligi bilioni 8.90 kutokana na upungufu wa mauzo, faida kwa jumla pia ilipungua kutoka shilingi bilioni 1.45 hadi shilingi bilioni 1.15 kwasababu ya kupungua kwa mauzo na viwango vidogo mwakani. Hasara Kabla ya kodi na kuongezea gharama za upangaji upya mwakani ulikuwa shilingi milioni 654 - Ongezeko kutoka mwaka uliopita wa shilingi milioni 246- kupungua kwa mauzo na faida kwajumla mwakani pamoja na ongezeko la gharama za utindakazi ilichangia zaidi matokeo mabaya.

Ongezeko la gharama za utendakazi zilisabishwa zaidi na gharama za uzorotaji wa mitambo ya komputa, vifaa na kodi, hasara ya shilingi milioni 45 kutoka kwa kugharimu mali mwakani hadi 30 Juni 2004.

Katika kipindi cha pili cha nusu mwaka, tulishughulika na uundaji mpya na kuweka biashara yetu kulingana na mpango wa ERP. Hatua hi ilichukuliwa kuchunguza gharama za biashara yetu. Jambo la kwanza, katika harakati hii, biashara ilitumia shilingi milioni 100 kama gharama za uundaji upya, ikihusu upungufu wa wafanyikazi. Ijapokuwa gharama hiyo ilionyesha ishara mbaya katika matokeo ya mwaka, akiba ya gharama hiyo ita faidi matokeo ya mwaka wa sasa na miaka ijayo.

Taarifa ya Mwenyekiti *Kuendeleza*

Upanuzi wetu katika eneo la Uganda hakika unafanya kazi, miezi kumi na nane tangu tulipo fungua Uchumi Uganda. kulipatikana Ongezoko la asilimia 133 la mauzo katika mwaka tunaochunguza. Kukua huku hakukuja rahisi lakini imeonyesha wazi kwamba tuko na juhudi za kukabiliana na mashindano katika soko hata wakati tunapoanza kuweka msingi wakujulikana katika eneo la Afrika Mashariki.

Ilikutuwezesha kuzuia kupata hasara zaidi na kurudi kufanya faida, kampuni imebuni mbinu mpya zilizo wazwa vema, mbinu hizi ni kujishughulisha zaidi na umuhimu wa biashara yetu. Mbinu hizi zinahusu sehemu zifatazo; uundaji upya wa biashara, kujishurutisha na biashara reja reja na muundo kabambe wa uhifadhi fedha.

Baadhi ya mbinu zilizotajwa awali tayari zimetekelezwa na tutayari kuanza kupata faida.

Katika kuunda upya biashara, kumetokea mabadiliko katika ngazi za usimamizi hadi ikafikia kumteua Mkurugenzi Mkuu ambaye anaujuzi zaidi unaohitajika kugeuza biashara na kuweka msingi thabiti wa maendeleo mbeleni. Tumewahi pia kugeuza utendakazi na ununuzi kuonyesha kwamba tunaanza tena.Mabadiliko hayo yanahusu kuteuliwa kwa wasimamizi wetu wawili ambao wana ujuzi zaidi, waendeshe sehemu hizi muhimu.

Pia harakati zakuleta mabadiliko baadhi ya wafanyikazi ilitekelezwa huku tukijua umuhimu wa kuwafundisha wafanyikazi iliwawe na ujuzi unaostahili.

Katika kuweka msururu utendakazi wa biashara reja reja; muhimu baadhi yao ni kuhakikisha kwamba faida tunazo tarajia kutokana na uwekaji wa mitambo ya komputa, kupunguza urundikaji wa bidhaa, kuwa na bidhaa kadha wa kadha na uamuzi marudufu, unapatikana mara moja. Kuhakikisha kwamba tunanunua bidhaa sawa sawa za matawi sawa, tuna wahusisha wasimamizi wetu wa matawi hayo katika uamuzi wa ununuzi kuliko hapo awali afisi kuu ndio iliokuwa ikichukua jukumu hilo. Pia katika kuendelea mbele, mpangilio bora wa upeanaji bidhaa na kuungwa mkono thabiti kwetu na wateja na huduma lazima ziwepo, kuhakikisha kuendeleza unyenyekevu wa wateja.

Mahitaji ya wateja ndio yatakayo weza hasa kuendesha biashara. Kwa hivyo, tumejishughulisha mara kwa mara kuwapatia mafunzo juu ya utoaji huduma bora.

Laziada tume buni changa moto iitwayo "huduma rafiki ya wateja". Warsha ya kuanzia ya changa moto iliyotajwa awali ilionyesha mapendekezo makubwa kutoka kwa wateja wetu. Hivyo basi, changa moto kabambe ikonjiani baadhi ya matawi yetu. Mpango wa kuunda upya hali na mali yetu ni kujishughulisha na kumaliza uundaji mpya wa hesabu za fedha kwa kutumia madeni ya muda mrefu, uongezaji rasilmali na hivyo basi kufutiliambali ukosefu wa pesa za matumizi na mfululizo wa kufanya hasara.

Katika Mkutano Mkuu wa Mwaka, Halmashauri italeta mbele ya wanachama, hoja ya mwisho ili iidhinishwe, baada ya kuchunguzwa mahitaji ya paswayo.

Mwaka wa hesabu ufuatao tutaona kampuni itakavyo mudu utendakazi wa matawi yake ikiwa na upeo mwafaka kuhakikisha matawi yote yana pata makadirio yao. Kutakuwa na mkazo zaidi wa utendakazi matawini. Pia, tutaendelea kuzingatia upungufu wa gharama katika biashara, kama njia moja wapo za kuchangia moto na kufanya biashara kufanikiwa.

Hatua hizi ni kanuni kwani ishara zinaonyesha kwamba uchumi bado utaendelea kuzorota, na kwahivyo kuwadhiri upungufu wa uwezo wa ununuzi wa mteja. Tutaendelea kuzindua na kufanya changa moto mpya, pia kuanzisha bidhaa zetu, huduma zaidi katika sehemu za uuzaji ili kuimarisha nafasi yetu na kunufaika wakati mabadiliko yatakapo kuja. Tutaendelea pia kukaa vema na kusaidiana kuendelesha uhusiano bora wa biashara tuliokuwa nao, wanaotuletea bidhaa wote.

Kumalizia, ningependa kutoa shukrani zangu kwa wezangu katika Halmashauri, wasimamizi na wafanyikazi kwa juhudi zao katika mwaka mgumu, nigenpenda pia kuwapatia heko wanaotuletea bidhaa na wateja kwa kuendelea na unyenyekevu na juhudi.

Eddah.W. Gachukia
Mwenyekiti

Uchumi City Square branch staff unveil the new point of sale system - storeline, as part of the ERP implementation.

Statement on Corporate Governance

Governance
Governance refers to the process and structure used to direct and manage the affairs of a company towards enhancing business propriety and corporate accountability with the ultimate objective of realizing long-term shareholder value, whilst taking into account the interests of other stakeholders. It is underpinned by the principles of openness, integrity and accountability.

Commitment to Good Corporate Governance
Corporate governance as the process by which organizations are directed, controlled and held to account places responsibility for overall business strategy, practices and policies on the board of directors. The directors of Uchumi Supermarkets remain committed to upholding the very highest standards of corporate governance and business ethics.

This commitment is demonstrated in continuous and consistent focus on actions that are geared towards ensuring full compliance with all relevant laws as well as with the "Guidelines on Corporate Governance Practices by Public Listed Companies in Kenya" issued by the Capital Markets Authority.

Corporate Social Responsibility
Uchumi Supermarkets limited remains committed to being a model corporate citizen that takes very seriously its obligations to all its stakeholders and the wider society at large. We continue to pay attention to the triple bottom line - the financial prosperity coupled with a regard for environmental quality and social equity as a measure of the results of our business activities. We also proactively seek opportunities to give back to society by engaging with communities to improve the lives of especially the less fortunate members of our society. Each year we contribute to various children's homes and the annual food fun'd. Uchumi Supermarkets also with Red Cross continue to avail all our outlets as collection centres to all our shoppers for food donations to the Hungry.

Board of Directors
The Board meets at least six times a year. Its current membership consists of one executive Director who is the Managing Director and nine non-executive directors of the Board. All the directors other than the Managing Director are subject to periodic retirement and re-election in accordance with the Company's Articles of Association.

The Directors are given appropriate and regular information to enable them maintain full and effective control over strategic, financial, operational and compliance issues. The Board has delegated authority for conduct of day to day business to the Managing Director except for direction and general policy guidance.

Committees of the Board
The role of the Board is to: ensure conformance by focusing on and providing the groups overall strategic direction and policy-making; and, performance review through accountability and ensuring appropriate monitoring and supervision. The Board is also responsible for the overall system of internal control and for reviewing its effectiveness. The controls are designed both to safeguard the Group's assets and ensure the reliability of financial information. Set out below are the key features of the existing corporate governance practices within the Company.

The Board has two committees which meet regularly under the terms of reference set by the Board.

The Finance and Audit Committee
The committee, which was set up in 2000, meets at least six times a year and additionally as required. It is chaired by a non-Executive Director, Mr. Isaac Awuondo. The committee's main responsibilities include: receiving and considering the Company's annual budgets and quarterly management accounts, adopting half-year interim results and annual financial statements, reviewing compliance with accounting standards, considering recommendations for capital expenditure, reviewing of proposals for opening of new branches, and financing. The committee also reviews with management and auditors the effectiveness of internal controls and matters raised in audit reports prior to their submission to the Board.

The Finance and Audit committee membership currently includes the Managing Director, five non-Executive Directors, besides its chairman, three members of management, with others attending as required.

The Staff Committee
The Staff Committee of the Board is chaired by Mr. Nigel R. Pavitt, non-Executive Director, and its membership includes five non-Executive Directors, the Managing Director and four other members of management. The Committee meets at least quarterly or as required and is responsible for review of all human resource policies, approval of remuneration policy for employees, and, making recommendation to the Board on remuneration of senior management.

Internal Controls
The group has defined procedures and financial controls to ensure the reporting of complete and accurate accounting information. These cover systems for obtaining authority for major transactions and for ensuring compliance with laws and regulations that have significant financial implications. Procedures are also in place to ensure that assets are subject to proper physical controls and that the organization remains structured to ensure appropriate segregation of duties.

Management Committee
Weekly senior management meetings are held to monitor and deal with operational issues, to improve communication and co-ordination in various business processes. Quarterly management meetings are also held to review performance and encourage participation from all in the Company's business.

Our Promise to Customers:
We will give you a world-class shopping experience. We will achieve this through our people. We will provide the best careers in retailing, and our staff will invest in leading-edge technology to deliver best-in-class efficiency across all our operations. Our Promise, Uchumi is "Great Value Always."

The directors submit their report together with the audited financial statements for the year ended 30 June 2004 which disclose the state of affairs of the company.

INCORPORATION AND REGISTERED OFFICE

The company is incorporated in Kenya under the Kenyan Companies Act and is domiciled in Kenya. The address of its registered office is:

Uchumi Supermarkets Limited
Yarrow Road
Industrial Area
PO Box 73167
NAIROBI.

PRINCIPAL ACTIVITIES

The principal activity of the group is that of operating retail supermarkets.

RESULTS AND DIVIDEND

The net loss for the year of Shs 698,911,000 (2003: Shs 196,569,000) has been reduced from retained earnings. The directors do not recommend the payment of a dividend.

FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The company's activities expose it to a variety of financial risks, including credit risk and the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The company's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance within the options available in Kenya to hedge against such risks.

The company has policies in place to ensure that sales are made to customers with an appropriate credit history.

DIRECTORS

The directors who held office during the year were:

Dr Eddah W Gachukia
K K Bett
ICDC Investments Company Limited
Industrial and Commercial Development Corporation
Kenya Wine Agencies Holdings (E.A.) Limited
Nigel Ralph Pavitt
Permanent Secretary Ministry of Trade and Industry
Dr Ernest Muinde Kioko
Isaac O Awoundo
Kennedy Thairu

AUDITORS

The company's auditors, PricewaterhouseCoopers, continue in office in accordance with Section 159(2) of the Kenyan Companies Act.

By order of the Board
I B Mogaka
Secretary
29 September 2004

Statement of Directors' Responsibilities

Year ended 30 June 2004

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the company and of the group as at the end of the financial year and of the profit or loss of the group. It also requires the directors to ensure that the company keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the company. They are also responsible for safeguarding the assets of the company and group.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of the group and of the profit or loss of the group. The directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

As stated in Note 1 of the financial statements, the directors, after taking into account various matters, are of the opinion that the group will remain a going concern for at least twelve months from the date of this statement.

K.K. Bett
Director

Dr. Eddah W. Gachukia
Director

29 September 2004

Report of the Independent Auditors to the members of Uchumi Supermarkets Limited

We have audited the financial statements of Uchumi Supermarkets Limited for the year ended 30 June 2004, set out on pages 13 to 35.

Respective responsibilities of directors and auditors

The directors are responsible for the preparation of financial statements as set out on page 11. Our responsibility is to express an independent opinion on the financial statements based on our audit.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement. An audit includes an examination, on a test basis, of evidence supporting the amounts and disclosures in the financial statements. It also includes an assessment of the accounting policies used and significant estimates made by the directors, as well as an evaluation of the overall presentation of the financial statements.

We have obtained all the information and explanations that to the best of our knowledge and belief were necessary for the purposes of our audit and believe that our audit provides a reasonable basis for our opinion.

Opinion

In our opinion proper books of account have been kept and the financial statements give a true and fair view of the state of the financial affairs of the group and of the company as at 30 June 2004 and of the group's loss and cash flows for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act. The balance sheet of the company is in agreement with the books of account.

Emphasis of matter

Without qualifying our opinion, we draw your attention to Note 1, which indicates that the group incurred a net loss of Shs 698,911,000 during the year ended 30 June 2004, and, as of that date, the group's current liabilities exceed its current assets by Shs 1,327,458,000. These conditions along with other matters as set forth in Note 1 indicate the existence of material uncertainties, which may cast doubt on the group's ability to continue as a going concern.

If the group were unable to continue in operational existence for the foreseeable future, adjustments would have to be made to reduce the balance sheet values of the group's assets to their recoverable amounts, to provide for further liabilities that might arise and to reclassify property, plant and equipment and other non current assets and liabilities as current assets and liabilities.

PRICEWATERHOUSECOOPERS

Certified Public Accountants
29 September 2004
Nairobi

Consolidated Profit and Loss Account

	Notes	2004 Shs'000	2003 Shs'000
Sales	2	7,962,986	8,900,858
Cost of sales		(6,814,950)	(7,452,417)
Gross profit		1,148,036	1,448,441
Other operating income and expense	3	232,896	162,630
Operating costs	4	(2,010,617)	(1,778,936)
Operating loss	5	(629,685)	(167,865)
Finance costs	7	(24,673)	(78,167)
Loss before tax		(654,358)	(246,032)
Tax (charge) / credit	8	(44,553)	49,463
Net loss		(698,911)	(196,569)
		Shs	Shs
Loss per share (basic and diluted)	9	(11.65)	(3.28)

Consolidated Balance Sheet

	Notes	2004	2003
		Shs'000	Shs'000
CAPITAL EMPLOYED			
Share capital	11	300,000	300,000
Share premium	11	129,452	129,452
Revaluation reserve	13	178,652	101,946
Translation reserves		(12,042)	841
Accumulated losses		(486,097)	169,602
Shareholders' funds		109,965	701,841
Non-current liabilities			
Borrowings	24	416,308	-
		526,273	701,841
REPRESENTED BY			
Non-current assets			
Property, plant and equipment	14	1,481,493	1,370,537
Prepaid operating rentals	15	161,456	230,267
Deferred tax	12	-	44,553
Intangible assets	19	209,200	210,742
Non-current receivables	18	1,582	5,995
		1,853,731	1,862,094
Current assets			
Inventories	20	940,837	1,264,141
Receivables and prepayments	21	367,349	179,023
Tax recoverable		30,882	30,882
Cash and bank balances	22	72,298	100,621
		1,411,366	1,574,667
Current liabilities			
Payables and accrued expenses	23	2,026,617	1,805,027
Borrowings	24	712,207	929,893
		2,738,824	2,734,920
Net current liabilities		(1,327,458)	(1,160,253)
		526,273	701,841

The financial statements on pages 13 to 35 were approved for issue by the board of directors on 29 September 2004 and signed on its behalf by:

K.K. Bett
Director

Dr. Eddah W. Gachukia
Director

Company Balance Sheet

[illegible] 2004

	Notes	2004 Shs'000	2003 Shs'000
CAPITAL EMPLOYED			
Share capital	11	300,000	300,000
Share premium	11	129,452	129,452
Revaluation reserve	13	178,652	101,946
Accumulated losses		(486,097)	169,602
Shareholders' funds		122,007	701,000
Non-current liabilities			
Borrowings	24	416,308	-
		538,315	701,000
REPRESENTED BY			
Non-current assets			
Property, plant and equipment	14	1,380,672	1,275,327
Prepaid operating rentals	15	57,821	120,244
Investment in subsidiary companies	16	-	200
Loan to subsidiary company	17	100,294	110,511
Deferred tax	12	-	44,553
Intangible assets	19	209,200	203,075
Non-current receivables	18	33,346	49,859
		1,781,333	1,803,769
Current assets			
Inventories	20	804,803	1,071,631
Receivables and prepayments	21	452,924	241,177
Tax recoverable		30,882	30,882
Cash and bank balances	22	70,443	98,236
		1,359,052	1,441,926
Current liabilities			
Payables and accrued expenses	23	1,896,890	1,696,646
Borrowings	24	705,180	848,049
		2,602,070	2,544,695
Net current liabilities		(1,243,018)	(1,102,769)
		538,315	701,000

The financial statements on pages 13 to 35 were approved for issue by the board of directors on 29 September 2004 and signed on its behalf by:

K.K. Bett
Director

Dr. Eddah W. Gachukia
Director

Group and Company Statement of Changes in Equity

	Notes	Share Capital Shs'000	Share Premium Shs'000	Revaluation Reserve Shs'000	Translation Reserve Shs'000	Retained Earnings Shs'000	Proposed Dividends Shs'000	Total Shs'000
Group and Company								
Year ended 30 June 2003								
At 1 July		300,000	129,452	105,566	-	362,551	30,000	927,569
Transfer of excess depreciation to retained earnings		-	-	(5,171)	-	5,171	-	-
Deferred tax on transfer (Note 12)		-	-	1,551	-	(1,551)	-	-
Translation gain		-	-	-	841	-	-	841
Net gains not recognised in income statement		-	-	(3,620)	841	3,620	-	841
Net loss		-	-	-	-	(196,569)	-	(196,569)
Dividends:								
- Final for 2002 (paid)		-	-	-	-	-	(30,000)	(30,000)
At 30 June		300,000	129,452	101,946	841	169,602	-	701,841
Group								
Year ended 30 June 2004								
At 1 July		300,000	129,452	101,946	841	169,602	-	701,841
Revaluation surplus	14	-	-	119,918	-	-	-	119,918
Transfer of excess depreciation to retained earnings		-	-	(6,908)	-	6,908	-	-
Deferred tax on transfer	12	-	-	2,072	-	(2,072)	-	-
Released on disposals		-	-	(54,822)	-	54,822	-	-
Deferred tax on disposals		-	-	16,446	-	(16,446)	-	-
Translation loss		-	-	-	(12,883)	-	-	(12,883)
Net gains not recognised in income statement		-	-	76,706	(12,883)	43,212	-	107,035
Net loss		-	-	-	-	(698,911)	-	(698,911)
At 30 June		300,000	129,452	178,652	(12,042)	(486,097)	-	109,965
Company								
Year ended 30 June 2004								
At 1 July		300,000	129,452	101,946	-	169,602	-	701,000
Revaluation surplus	14	-	-	119,918	-	-	-	119,918
Transfer of excess depreciation to retained earnings		-	-	(6,908)	-	6,908	-	-
Deferred tax on transfer	12	-	-	2,072	-	(2,072)	-	-
Released on disposals		-	-	(54,822)	-	54,822	-	-
Deferred tax on disposals		-	-	16,446	-	(16,446)	-	-
Net gains not recognised in income statement		-	-	76,706	-	43,212	-	119,918
Net loss		-	-	-	-	(698,911)	-	(698,911)
At 30 June		300,000	129,452	178,652	-	(486,097)	-	122,007

Consolidated Cash Flow Statement

[illegible] 2004

	Notes	2004 Shs'000	2003 Shs'000
Operating activities			
Cash generated from operations	27	184,574	108,153
Interest received	7	6	-
Interest paid	7	(60,039)	(40,751)
Tax paid		-	(26,293)
Net cash from operating activities		124,541	41,109
Investing activities			
Purchase of property, plant and equipment	14	(249,739)	(387,832)
Purchase of leasehold property	15	-	(33,895)
Purchase of intangible assets	19	(72,057)	(216,298)
Proceeds from disposal of property, plant and equipment		693	-
Proceeds from disposal of leasehold property		-	19,407
Net cash used in investing activities		(321,103)	(618,618)
Financing activities			
Proceeds from long term borrowing		550,000	-
Repayments on long term borrowing		(35,672)	-
Dividends paid		-	(30,000)
Net cash generated from / (used in) financing activities		514,328	(30,000)
Increase / (decrease) in cash and cash equivalents		317,766	(607,509)
Movement in cash and cash equivalents			
At start of year		(829,272)	(228,545)
Increase / (decrease)		317,766	(607,509)
Effect of exchange rate movements on cash and cash equivalents		(30,383)	6,782
At end of year	22	(541,889)	(829,272)

The principal accounting policies adopted in the preparation of these financial statements are set out below:

(a) Basis of preparation

The financial statements are prepared in accordance with and comply with International Financial Reporting Standards (IFRS). The financial statements are presented in Kenya Shillings (Shs), rounded to the nearest thousand, and are prepared under the historical cost convention as modified by the revaluation of freehold land and all buildings.

The preparation of financial statements in conformity with generally accepted accounting principles requires the use of estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Although these estimates are based on the directors' best knowledge of current events and actions, actual results ultimately may differ from those estimates.

(b) Revenue recognition

Sales are recognised upon delivery of products to customers and performance of services, and are stated net of VAT and discounts.

Interest income is recognised as it accrues, unless collectibility is in doubt.

(c) Translation of foreign currencies

Transactions in foreign currencies during the year are converted into Kenya Shillings at rates ruling at the transaction dates. Assets and liabilities at the balance sheet date which are expressed in foreign currencies are translated into Kenya Shillings at rates ruling at that date. The resulting differences from conversion and translation are dealt with in the profit and loss account in the year in which they arise.

(d) Property, plant and equipment

All categories of property, plant and equipment are initially recorded at cost. Freehold land and all buildings are subsequently shown at market value, based on regular valuations by external independent valuers, less subsequent depreciation. All other property, plant and equipment is stated at historical cost less depreciation.

Increases in the carrying amount arising on revaluation are credited to a revaluation reserve. Decreases that offset previous increases of the same asset are charged against the revaluation reserve; all other decreases are charged to the profit and loss account. Each year, the difference between depreciation based on the revalued carrying amount of the asset (the depreciation charged to the profit and loss account) and depreciation based on the asset's original cost is transferred from the revaluation reserve to retained earnings.

Depreciation is calculated on the straight line basis to write down the cost of each asset, or the revalued amount, to its residual value over its estimated useful life as follows:

Buildings on freehold land	Over a period of 45 years
Buildings on leasehold land	Over the lease period
Improvements to premises	10%
Plant and machinery	20%
Equipment and motor vehicles	15%, 20% and 25% (as applicable)

Freehold land is not depreciated as it is deemed to have an indefinite life.

Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount.

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amounts and are taken into account in determining operating profit. On disposal of revalued assets, amounts in revaluation reserve relating to that asset are transferred to retained earnings.

Property, plant and equipment are periodically reviewed for impairment. Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount.

(e) Intangible assets

Costs associated with maintaining computer software programmes are recognised as an expense as incurred. Costs that are directly associated with identifiable and unique software products controlled by the group and will generate economic benefits exceeding costs beyond one year, are recognised as intangible assets. These assets are amortised using the straight-line method over a period of four years.

(f) Accounting for leases

Leases of property, plant and equipment where the company assumes substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are capitalised at the inception of the lease at the lower of fair value of the leased property and the estimated present value of the underlying lease payments. Each lease payment is allocated between the liability and finance charges so as to achieve a constant rate on the finance balance outstanding.

Leases where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases are charged to the profit and loss account on a straight-line basis over the period of the lease.

(g) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined by the weighted average cost method. Net realisable value is the estimate of the selling price in the ordinary course of business, less selling expenses.

(h) Trade receivables

Trade receivables are carried at invoice amount less an estimate made for doubtful receivables based on a review of all outstanding amounts at the year-end. Bad debts are written off in the year in which they are identified.

(i) Employee entitlements

The estimated monetary liability for employees' accrued annual leave entitlement at the balance sheet date is recognised as an expense accrual.

(j) Deferred tax

Deferred tax is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Tax rates enacted or substantively enacted at the balance sheet date are used to determine deferred tax.

Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

(k) Retirement benefit obligations

The company operates a defined contribution retirement benefit scheme for all its employees. The scheme is administered by an insurance company and is funded from contributions from both the company and employees.

The company's contributions to the defined contribution scheme are charged to the profit and loss account in the year to which they relate.

(l) Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until declared.

(m) Investments in subsidiaries

Investments in subsidiaries are carried in the company's balance sheet at cost less provisions for impairment losses. Where, in the opinion of the Directors, there has been impairment in the value of an investment, the loss is recognised as an expense in the period in which the impairment is identified.

(n) Borrowings

Borrowings are recognised initially at the proceeds received, net of transaction costs incurred. Borrowings are subsequently stated at amortised cost using the effective yield method; any differences between proceeds (net of transaction costs) and the redemption value is recognised in the profit and loss account over the period of the borrowings.

(o) Consolidation

Subsidiary undertakings, which are those companies in which the Group, directly or indirectly, has an interest of more than one half of the voting rights or otherwise has power to exercise control over the operations, have been consolidated. Subsidiaries are consolidated from the date on which effective control is transferred to the Group and consolidation ceases from the date of disposals or cessation of effective control.

The income statements of subsidiaries are translated at average exchange rates for the year and balance sheets at the year-end rates. The resulting differences from translation are dealt with in reserves.

Details of the company's subsidiaries are set out on Note 16.

(p) Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

Notes forming part of the financial statements

1 Going Concern

The group incurred a net loss of Shs 698,911,000 during the year ended 30 June 2004, and, as at that date, the group's current liabilities exceed its current assets by Shs 1,327,458,000.

The directors have prepared the financial statements on a going concern basis. The continued appropriateness of the going concern assumption is dependent upon the group obtaining adequate financing to meet its obligations, as and when they fall due, and to finance any losses, that may arise in the foreseeable future. To this end, the following actions have been taken by management, subsequent to year end, to secure additional financing:

- On 26 August 2004, Uchumi Supermarkets Limited entered into an agreement with The Eastern and Southern African Trade and Development Bank to borrow an aggregate amount of Shs 500,000,000. The borrowing will comprise a medium term loan of Shs 100,000,000, having a repayment period not exceeding 36 months and a short-term loan of Shs 400,000,000 having a repayment period not exceeding 12 months. The company has subsequently received the short-term loan.

- Management have entered into discussions with East African Development Bank on the possibility of extending a medium term credit facility to Uchumi Supermarkets Limited of up to Shs 500,000,000. The decision to provide the loan facility to the company is subject to the outcome of a detailed financial and operational evaluation.

- Amounts totalling Shs 105,000,000 have been borrowed from two of the company's shareholders namely; ICDC Investment Company Limited and Industrial and Commercial Development Corporation. These loans are to be repaid on 31 October 2005.

- The board of directors has appointed a financial advisor to identify a strategic equity partner in order to raise an amount of Shs 750,000,000. It is also considering making a rights issue to raise a further Shs 500,000,000. The two activities are subject to approval by the Capital Markets Authority and shareholders.

Once all of the above initiatives have been successfully undertaken, part of the group's current liabilities will be converted to long-term borrowings and the injection of equity will improve the group's gearing.

The continued appropriateness of the going concern assumption is further dependent upon the company obtaining continued financial support from its bankers, Kenya Commercial Bank (KCB). KCB have confirmed that they have no reason to terminate credit facilities currently being extended to Uchumi Supermarkets Limited. As at 30 June 2004 the company had an overdraft with Citibank amounting to Shs 130,950,000. The entire borrowing had been repaid at 29 September 2004.

In the circumstances, the directors are of the opinion that the going concern basis of preparing the financial statements is appropriate. However, if any of the above initiatives were not to be successful then there would be significant uncertainty on the ability of the group to continue as a going concern.

2 Segment information

Year ended 30 June 2003	Kenya Shs'000	Uganda Shs'000	Group Shs'000
Gross sales	9,695,622	295,578	9,991,200
Less: Value added tax	(1,053,456)	(36,886)	(1,090,342)
Net sales	8,642,166	258,692	8,900,858
Operating loss	(116,424)	(51,441)	(167,865)
Current assets	1,341,835	232,832	1,574,667
Non-current assets	1,759,905	102,189	1,862,094
Total segment assets	3,101,740	335,021	3,436,761
Segment liabilities	2,544,695	190,225	2,734,920

Year ended 30 June 2004	Kenya Shs'000	Uganda Shs'000	Group Shs'000
Gross sales	8,249,567	688,137	8,937,704
Less: Value added tax	(890,479)	(84,239)	(974,718)
Net sales	7,359,088	603,898	7,962,986
Operating loss	(585,648)	(44,217)	(629,685)
Current assets	1,234,075	177,291	1,411,366
Non-current assets	1,752,910	100,821	1,853,731
Total segment assets	2,986,985	278,112	3,265,097
Current liabilities	2,606,658	132,166	2,738,824
Non-current liabilities	416,308	-	416,308
Total segment liabilities	3,022,966	132,166	3,155,132

There are no business segments as the principal activity of the group is that of operating retail supermarkets. Therefore, the only segment reporting present is on a geographical basis (Kenya and Uganda). Segment assets consist primarily of property, plant and equipment, intangible assets, inventories, receivables and operating cash, and mainly exclude investments and amounts due from subsidiaries. Segment liabilities comprise operating liabilities and exclude items such as dividend payable and amounts due to parent company.

Sales revenue is based on the country in which the sale took place. Total assets are shown by the geographical area in which the assets are located. Both geographical segments are involved in the operation of retail supermarkets.

3 Other operating income and expense

	2004 Shs'000	2003 Shs'000
Promotions income	142,653	155,281
Profit on sale of property, plant and equipment	103,310	7,349
Deficit on revaluation (Note 14)	(45,113)	-
Miscellaneous income	32,046	-
	232,896	162,630

4 Operating costs

	2004 Shs'000	2003 Shs'000
Branch operating expenses	1,239,743	1,116,019
Administrative expenses	667,429	562,235
Distribution costs	103,445	100,682
	2,010,617	1,778,936

5 Operating loss

	2004 Shs'000	2003 Shs'000
The following items have been charged / (credited) in arriving at operating loss:		
Depreciation on property, plant and equipment (Note 14)	197,408	158,001
Amortisation of intangible assets (Note 19)	73,599	23,946
Repairs and maintenance of property, plant and equipment	17,665	19,903
Amortisation of operating lease rentals (Note 15)	7,877	1,430
Trade receivables - impairment charge / (credit) for bad and doubtful debts	3,358	(294)
Staff costs (Note 6)	925,459	861,315
Auditors' remuneration	3,946	3,714

6 Staff costs

	2004 Shs'000	2003 Shs'000
The following items are included within staff costs:		
Salaries and wages	747,078	784,928
Social security benefits	6,663	5,277
Retirement benefits costs :		
- Defined contribution scheme	19,177	19,210
Other staff costs	52,737	51,900
Reorganisation costs	99,804	-
	925,459	861,315

The number of persons employed by the group at the year end was 1,701 (2003: 2,301).

7 Finance costs

	2004 Shs'000	2003 Shs'000
Interest income	6	-
Foreign currency exchange gain / (loss)	35,360	(37,416)
Interest expense	(60,039)	(40,751)
	(24,673)	(78,167)

8 Tax

	2004 Shs'000	2003 Shs'000
Deferred tax	(214,878)	(39,231)
Movement in deferred tax asset not recognised	253,094	-
Overprovision in prior year	6,337	(10,232)
	44,553	(49,463)

No current tax charge arises on the results for the year as the group has made a taxable loss in the year. The tax on the group's loss before tax differs from the theoretical amount that would arise using the basic tax rate as follows:

	2004 Shs'000	2003 Shs'000
Loss before tax	(654,358)	(246,032)
Tax calculated at the statutory income rate of 30% (2003:30%)	(196,307)	(73,810)
Tax effect of:		
Expenses not deductible for tax purposes	28,607	9,443
Income not subject to tax	(47,178)	(2,205)
Prior year under / (over) provision	6,337	(10,232)
	(208,541)	(76,804)
Movement in deferred tax asset not recognised (Note 12) - prior year	44,553	-
- current year	208,541	27,341
	253,094	27,341
Tax charge / (credit)	44,553	(49,463)

9 Loss per share

Loss per share is calculated by dividing the loss after tax attributable to shareholders by the number of ordinary shares in issue during the year.

	2004	2003
Loss attributable to shareholders (Shs'000)	(698,911)	(196,569)
Number of ordinary shares in issue (Thousands)	60,000	60,000
Basic loss per share (Shs)	(11.65)	(3.28)

There were no potentially dilutive shares outstanding as at 30 June 2004 or 2003.

10 Dividends per share

Proposed dividends are accounted for as a separate component of equity until they have been ratified at an annual general meeting.

11 Share capital

	Number of shares (Thousands)	Ordinary share capital Shs'000	Share premium Shs'000
Balance at 1 July 2003 and 30 June	60,000	300,000	129,452

The total authorised number of ordinary shares is 60,000,000 with a par value of Shs 5 per share. All issued share are fully paid.

12 Deferred tax

Deferred tax is calculated, in full, on all temporary differences under the liability method using a principal tax rate of 30%. The movement on the deferred tax account is as follows:

	Group		Company	
	2004 Shs'000	2003 Shs'000	2004 Shs'000	2003 Shs'000
At start of year	(44,553)	4,910	(44,553)	4,910
Income statement credit	(214,878)	(49,463)	(212,388)	(49,463)
Prior year over provision	6,337	-	7,241	-
Movement in deferred tax asset not recognised (Note 8)	253,094	-	249,700	-
At end of year	-	(44,553)	-	(44,553)

Deferred tax assets and liabilities, deferred tax charge/(credit) in the profit and loss account, and deferred tax charge/(credit) in equity are attributable to the following items:

12 Deferred tax *Continued*

Group

	1.7.2003 Shs'000	Charged credited to P/L Shs'000	Charged credited equity Shs'000	30.6.2004 Shs'000
Deferred tax liabilities				
Property, plant and equipment:				
- on historical cost basis	(4,012)	(12,807)	-	(16,819)
- on revaluation surpluses	11,081	(11,278)	22,441	22,244
Unrealised exchange gains	36	(36)	-	-
	7,105	(24,121)	22,441	5,425
Deferred tax assets				
Provisions	(19,974)	(31,361)	-	(51,335)
Unrealised exchange losses	-	(110)	-	(110)
Tax losses	(59,025)	(152,949)	-	(211,974)
	(78,999)	(184,420)	-	(263,419)
Net liability / (asset)	(71,894)	(208,541)	22,441	(257,994)
Deferred tax asset not recognised	27,341	253,094	(22,441)	257,994
Deferred tax per balance sheet	(44,553)	44,553	-	-

Company

	1.7.2003 Shs'000	Charged credited to P/L Shs'000	Charged credited equity Shs'000	30.6.2004 Shs'000
Deferred tax liabilities				
Property, plant and equipment:				
- on historical cost basis	(4,012)	(12,342)	-	(16,354)
- on revaluation surpluses	11,081	(11,278)	22,441	22,244
Unrealised exchange gains	36	(36)	-	-
	7,105	(23,656)	22,441	5,890
Deferred tax assets				
Provisions	(19,974)	(44,044)	-	(64,018)
Unrealised exchange losses	-	(110)	-	(110)
Tax losses	(31,684)	(137,337)	-	(169,021)
	(51,658)	(181,491)	-	(233,149)
Net liability / (asset)	(44,553)	(205,147)	22,441	(227,259)
Deferred tax asset not recognised	-	249,700	(22,441)	227,259
Deferred tax per balance sheet	(44,553)	44,553	-	-

12 Deferred tax *Continued*

Deferred tax of Shs 2,072,000 (2003: Shs 1,551,000) is transferred within shareholders' equity from revaluation reserves to retained earnings. This represents deferred tax on the difference between the actual depreciation on the property and the equivalent depreciation based on the historical cost of the property.

13 Revaluation reserve (Group and Company)

The reserve arises from the revaluation of land and buildings and is non-distributable.

14 Property, plant and equipment

	Freehold land and all buildings	Improvements to premises	Plant and machinery	Vehicles and equipment	Capital work-in progress	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Group						
Cost or valuation						
At 1 July 2003	640,283	225,472	396,226	642,991	16,629	1,921,601
Additions	-	133,323	27,926	88,490	-	249,739
Disposals	(60,000)	-	(311)	(12,226)	-	(72,537)
Transfers	-	16,629	-	-	(16,629)	-
Revaluation surplus	88,093	-	-	-	-	88,093
Revaluation deficit	(45,113)	-	-	-	-	(45,113)
Reclassified from prepaid rentals	22,737	-	-		-	22,737
Exchange gain	-	7,403	8,933	5,371	-	21,707
At 30 June 2004	646,000	382,827	432,774	724,626	-	2,186,227
Depreciation						
At 1 July 2003	24,894	45,692	186,725	293,753	-	551,064
Disposals	(3,761)	-	(311)	(12,048)	-	(16,120)
Charge for the year	10,692	27,218	60,218	99,280	[illegible]	197,408
Write back on revaluation	(31,825)	-	-	-	-	(31,825)
Exchange loss	-	939	2,266	1,002	-	4,207
At 30 June 2004	-	73,849	248,898	381,987	-	704,734
Net book amount						
At 30 June 2004	646,000	308,978	183,876	342,639	-	1,481,493
At 30 June 2003	615,389	179,780	209,501	349,238	16,629	1,370,537

In the opinion of the directors, there is no impairment of property, plant and equipment.

Deficit on revaluation has been directly charged to the profit and loss account in accordance with the accounting policy on property, plant and equipment.

14 Property, plant and equipment *Continued*

Freehold land and all buildings were valued in June 2004, by Lloyd Masika Limited, independent professional valuers. Valuations were made on the basis of open market value. The book values of the properties were adjusted to the revalued amounts and the resultant surplus, was credited to revaluation reserves.

	Freehold land and all buildings	Improvements to premises	Plant and machinery	Vehicles and equipment	Capital work-in progress	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Company						
Cost or valuation						
At 1 July 2003	640,283	188,944	352,232	618,934	16,629	1,817,022
Additions	-	132,571	26,890	84,180	-	243,641
Disposals	(60,000)	-	(311)	(12,226)	-	(72,537)
Transfers	-	16,629	-	-	(16,629)	-
Revaluation surplus	88,093	-	-	-	-	88,093
Revaluation deficit	(45,113)	-	-	-	-	(45,113)
Reclassified from prepaid rentals	22,737	-	-	-	-	22,737
At 30 June 2004	646,000	338,144	378,811	690,888	-	2,053,843
Depreciation						
At 1 July 2003	24,894	43,561	181,592	291,648	-	541,695
Disposals	(3,761)	-	(311)	(12,048)	-	(16,120)
Charge for the year	10,692	23,263	50,665	94,801	-	179,421
Write back on revaluation	(31,825)	-	-	-	-	(31,825)
At 30 June 2004	-	66,824	231,946	374,401	-	673,171
Net book amount						
At 30 June 2004	646,000	271,320	146,865	316,487	-	1,380,672
At 30 June 2003	615,389	145,383	170,640	327,286	16,629	1,275,327

If all the freehold land, buildings and improvements were stated on the historical cost basis, the amounts would be as follows:

	Group		Company	
	2004	2003	2004	2003
	Shs'000	Shs'000	Shs'000	Shs'000
Cost	971,997	794,145	927,314	757,617
Accumulated depreciation	(123,014)	(91,894)	(115,989)	(89,763)
Net book amount	848,983	702,251	811,325	667,854

15 Prepaid operating rentals

	Group		Company	
	2004	2003	2004	2003
	Shs'000	Shs'000	Shs'000	Shs'000
Carrying amount of leasehold land at 1 July	230,267	209,860	120,244	99,837
Add:				
- additions for the year	-	33,895	-	33,895
Less:				
- reclassified to property, plant and equipment	(22,737)	-	(22,737)	-
- amortisation for the year	(7,877)	(1,430)	(1,489)	(1,430)
- disposal during the year	(38,197)	(12,058)	(38,197)	(12,058)
At 30 June	161,456	230,267	57,821	120,244

16 Investment in subsidiaries (Company)

	Country of incorporation	2004 Shs'000	2003 Shs'000
Investment in Uchumi Supermarkets (Uganda) Limited	Uganda	60,000	60,000
Investment in Kasarani Mall Limited	Kenya	200	200
		60,200	60,200
Less: provision for impairment		60,200	60,000
		-	200

Both Uchumi Supermarkets (Uganda) Limited and Kasarani Mall Limited are wholly-owned by Uchumi Supermarkets (Kenya) Limited and whose results have been consolidated in the financial statements. The other wholly owned subsidiaries; Uchumi Supermarkets (Tanzania) Limited and Uchumi Holdings Limited, incorporated in Tanzania and Kenya respectively, have each issued only two shares of nominal amounts. These subsidiaries did not have any transactions during the year.

17 Loan to subsidiary (Company)

	2004 Shs'000	2003 Shs'000
Loan to Kasarani Mall Limited	110,511	110,511
Less: provision for impairment	(10,217)	-
	100,294	110,511

The loan to Kasarani Mall Limited was advanced for the purpose of acquiring land. There is no interest charged on the loan and there is no fixed repayment date. The land is on Thika Road and is held for the group's future expansion.

18 Non-current receivables

	Group		Company	
	2004	2003	2004	2003
	Shs'000	Shs'000	Shs'000	Shs'000
Amounts due from Uchumi				
Supermarkets (Uganda) Limited	-	-	75,000	75,000
Less : provision for impairment	-	-	(43,236)	(31,136)
	-	-	31,764	43,864
Other non-current receivables	1,582	5,995	1,582	5,995
Net book amount	1,582	5,995	33,346	49,859

The current receivables relating to the above items are shown in Note 21 as part of other receivables.

19 **Intangible assets**

Group	Computerisation and software costs	Pre-operating costs	TOTAL
Year ended 30 June 2003	Shs'000	Shs'000	Shs'000
Opening net book amount	18,390	-	18,390
Cost recognised as an asset	205,757	10,541	216,298
Amortisation charge	(21,072)	(2,874)	(23,946)
Closing net book amount	203,075	7,667	210,742
Year ended 30 June 2004			
Opening net book amount	203,075	7,667	210,742
Cost recognised as an asset	72,057	-	72,057
Amortisation charge	(65,932)	(7,667)	(73,599)
Closing net book amount	209,200	-	209,200

Company	Computerisation and software costs	Pre-operating costs	TOTAL
Year ended 30 June 2003	Shs'000	Shs'000	Shs'000
Opening net book amount	18,390	-	18,390
Cost recognised as an asset	205,757	-	205,757
Amortisation charge	(21,072)	-	(21,072)
Closing net book amount	203,075	-	203,075
Year ended 30 June 2004			
Opening net book amount	203,075	-	203,075
Cost recognised as an asset	72,057	-	72,057
Amortisation charge	(65,932)	-	(65,932)
Closing net book amount	209,200	-	209,200

Computerisation and software costs represent costs that are directly associated with the implementation of the new Enterprise Resource Planning system.

20 Inventories

	Group		Company	
	2004	2003	2004	2003
	Shs'000	Shs'000	Shs'000	Shs'000
Food	282,646	294,636	253,093	252,359
Non-food	619,790	871,184	526,430	721,476
Other	26,864	32,379	25,280	31,854
Goods in transit	11,537	65,942	-	65,942
	940,837	1,264,141	804,803	1,071,631

21 Receivables and prepayments

	Group		Company	
	2004	2003	2004	2003
	Shs'000	Shs'000	Shs'000	Shs'000
Trade receivables	51,716	25,711	39,311	24,818
Less: Impairment charge for bad and doubtful debts	(18,575)	(15,217)	(18,575)	(15,217)
Trade receivables	33,141	10,494	20,736	9,601
Prepayments	12,980	52,096	12,980	52,096
Receivables from related companies (Note 28)	725	408	725	408
Other receivables	231,738	116,025	231,738	78,981
VAT / Withholding tax refundable	88,765	-	61,766	-
Amounts due from subsidiary	-	-	124,979	100,091
	367,349	179,023	452,924	241,177

Amounts due from subsidiary are recoverable from Uchumi Supermarkets (Uganda) Limited. Included in other receivables are amounts totalling Shs. 197,231,000 relating to proceeds on disposals of property, plant and equipment and prepaid operating rentals. Contracts have been signed and deposits paid for these disposals before 30 June 2004. The amount outstanding represents the balances payable on completion.

22 Cash and bank balances

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand and deposits held at call with banks net of bank overdrafts. In the balance sheet, bank overdrafts are included in borrowings in current liabilities. The year-end cash and cash equivalents comprise the following:

	Group		Company	
	2004	2003	2004	2003
	Shs'000	Shs'000	Shs'000	Shs'000
Cash and bank balances	72,298	100,621	70,443	98,236
Bank overdrafts (Note 24)	(614,187)	(929,893)	(607,160)	(848,049)
	(541,889)	(829,272)	(536,717)	(749,813)

23 Payables and accrued expenses

	Group		Company	
	2004	2003	2004	2003
	Shs'000	Shs'000	Shs'000	Shs'000
Trade payables	1,798,840	1,502,989	1,692,203	1,409,681
Amounts due to related companies (Note 28)	26,279	13,172	26,279	13,172
Accrued expenses	48,774	33,389	39,581	28,928
Other payables	152,724	255,477	138,827	244,865
	2,026,617	1,805,027	1,896,890	1,696,646

24 Borrowings

The borrowings are made up as follows:

	Group		Company	
	2004	2003	2004	2003
	Shs'000	Shs'000	Shs'000	Shs'000
Non-current borrowing				
Term loan	416,308	-	416,308	-
Current borrowing				
Bank overdraft	614,187	929,893	607,160	848,049
Term loan	98,020	-	98,020	-
	712,207	929,893	705,180	848,049
	1,128,515	929,893	1,121,488	848,049

Group and Company

	2004
	Shs'000
Maturity of non-current borrowings:	
Between 1 and 2 years	105,106
Between 2 and 5 years	311,202
	416,308

The term loan is repayable over a period of five years.

All borrowings (current and non-current) are secured by a debenture with a first legal charge over the entire assets of the company and with a floating charge over stocks and debtors.

24 Borrowings *Continued*

The weighted average effective interest rate at the year-end was:

	2004	2003
- Term Loan	7.0%	-
- Money market facility	3.7%	-
- Bank overdrafts	4.2%	7.6%

In the opinion of the directors, the carrying amounts of borrowings approximate to their fair value. Fair values are based on discounted cash flows using a discount rate based upon the borrowing rate that directors expect would be available to the group at the balance sheet date.

The group and company have the following un-drawn committed borrowing facilities:

	Group		Company	
	2004 Shs'000	2003 Shs'000	2004 Shs'000	2003 Shs'000
Floating rate				
- expiring within one year	52,840	435,844	52,840	416,951

The facilities are renewable and are subject to review at various dates over the next 12 months.

25 Contingent liabilities

The group is a defendant in various legal actions. In the opinion of the directors, after taking appropriate legal advice, the outcome of such actions will not give rise to any significant loss.

26 Commitments

Capital commitments

Capital expenditure contracted for at the balance sheet date but not recognised in the financial statements is as follows:

	Group		Company	
	2004 Shs'000	2003 Shs'000	2004 Shs'000	2003 Shs'000
Property, plant and equipment	-	25,303	-	21,319

26 Commitments *Continued*

Operating lease commitments

The future minimum lease payments under non-cancellable operating leases are as follows:

	Group		Company	
	2004	2003	2004	2003
	Shs'000	Shs'000	Shs'000	Shs'000
Not later than one year	313,427	284,637	263,832	240,429
Later than one year and not later than five years	898,381	1,056,611	782,161	905,440
Later than five years	320,856	346,007	320,856	346,007
	1,532,664	1,687,255	1,366,849	1,491,876

27 Cash generated from operations

Reconciliation of loss before tax to cash generated from operations:

	2004	2003
	Shs'000	Shs'000
Loss before tax	(654,358)	(246,032)
Adjustments for:		
Depreciation on property, plant and equipment (Note 14)	197,408	158,001
Deficit on revaluation (Note 14)	45,113	-
Amortisation of prepaid operating rentals (Note 15)	7,877	1,430
Amortisation of intangible assets (Note 19)	73,599	23,946
Profit on sale of property, plant and equipment	(94,007)	-
Profit on disposal of leasehold property	(9,303)	(7,349)
Interest income (Note 7)	(6)	-
Interest expense (Note 7)	60,039	40,751
Changes in working capital		
- receivables and prepayments	13,318	(31,174)
- inventories	323,304	(410,308)
- payables and accrued expenses	221,590	578,888
Cash generated from operations	184,574	108,153

Proceeds on disposal of property, plant and equipment and prepaid operating rentals amounting to Shs 197,231,000 have not been received (Note 21).

28 Related party transactions

The group is related to various other entities through common shareholdings and/or directorships. The following transactions were carried out with related parties:

	2004	2003
i) Sale of goods and services	Shs'000	Shs'000
Industrial and Commercial Development Corporation	262	333
Kenya Wine Agencies Limited	568	546
	830	879
ii) Purchase of goods and services		
Kenya Wine Agencies Limited	27,651	82,786
Industrial and Commercial Development Corporation	991	524
	28,642	83,310

Sales and purchases to/from related parties were made at terms and conditions similar to those offered to other customers and obtained from other suppliers.

iii) Outstanding balances arising from sale and purchase of goods/services

	2004	2003
	Shs'000	Shs'000
Receivables from related parties		
Industrial and Commercial Development Corporation	80	72
Kenya Wine Agencies Limited	645	336
	725	408
Payable to related parties		
Industrial and Commercial Development Corporation	1,982	991
Kenya Wine Agencies Limited	24,297	12,181
	26,279	13,172
iv) Directors' remuneration		
- fees	360	360
- others	20,085	12,965

Principal shareholders and distribution schedule

The ten largest shareholders of the company and their respective holdings as at 20 September 2004 were as follows:

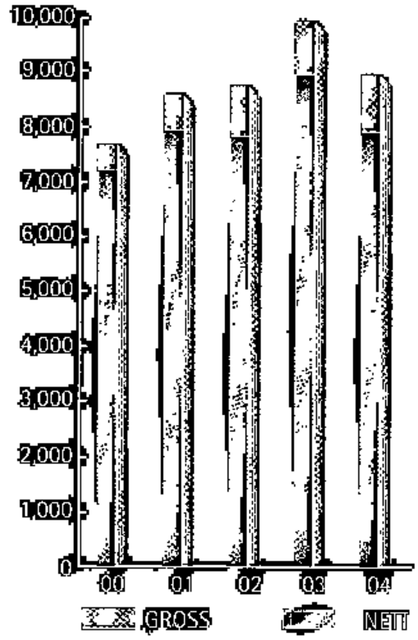
No	Name	Number of Shares	Percentage Holding
1	ICDC Investment Company Limited	14,993,317	24.9
2	KWAL Holdings EA Limited	11,250,000	18.8
3	Industrial and Commercial Development Corporation	4,669,369	7.8
4	Christopher John Kirubi	2,083,674	3.5
5	Barclays (Kenya) Nominees Limited Ac 9099	2,003,000	3.3
6	Barclays (Kenya) Nominees Limited Ac 9057	1,795,430	3.0
7	Baloobhai Chhotabhai Patel	1,192,805	2.0
8	Old Mutual Life Assurance Company Limited	1,102,441	1.8
9	Orthodox Archibishopric of Kenya	1,095,212	1.8
10	Barclays (Kenya) Nominees Limited	770,000	1.3

Distribution schedule

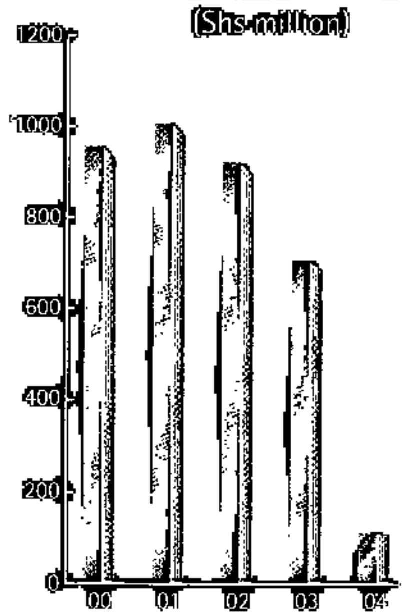
Category	Number of shareholders	Number of shares
1 - 1,000 shares	4,157	2,350,365
1,001 - 5,000	1,870	3,927,283
5,001 - 10,000	215	1,567,348
10,001 - 100,000	205	5,485,132
100,000 and over shares	33	46,669,872
TOTAL	**6,480**	**60,000,000**

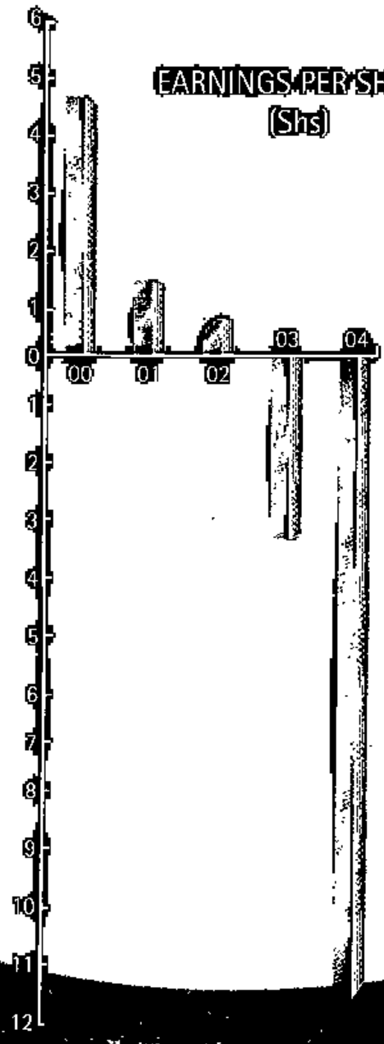
FINANCIAL HIGHLIGHTS

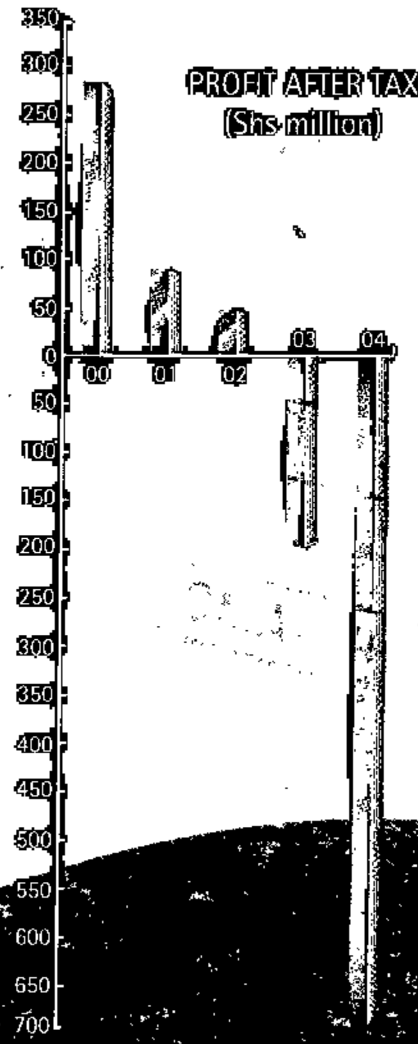
TURNOVER
(Shs million)

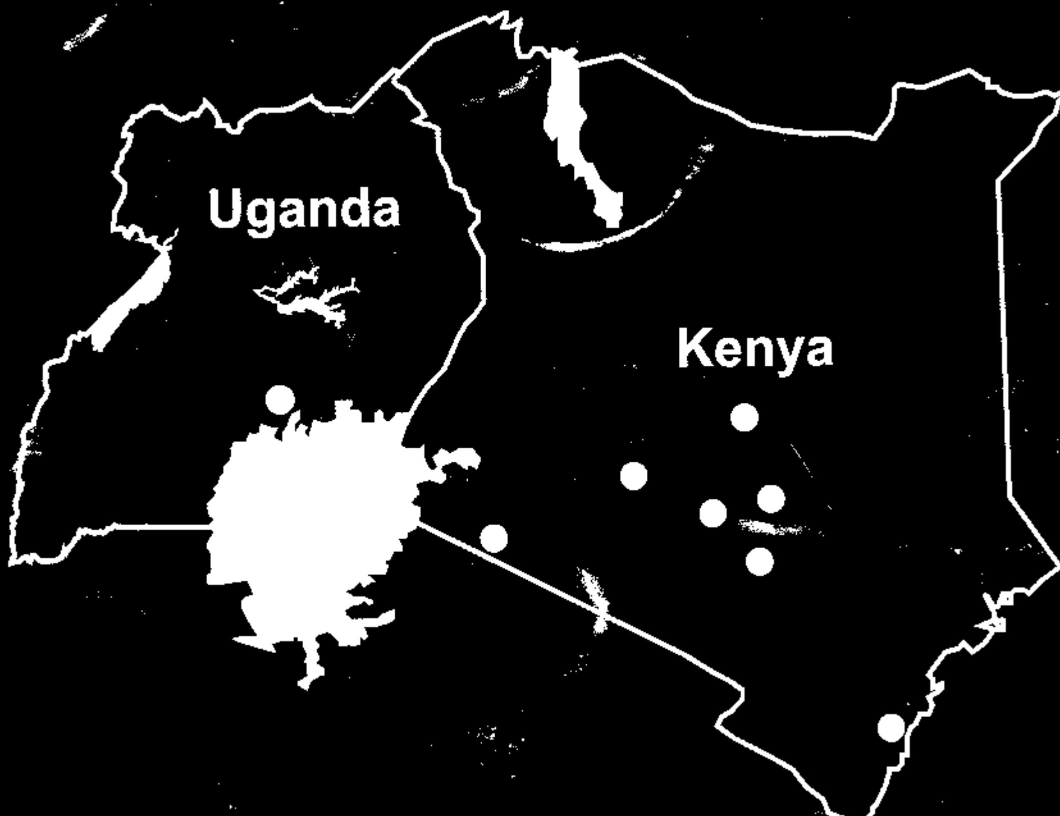


SHAREHOLDERS FUNDS
(Shs million)









UCHUMI

SUPERMARKETS LTD